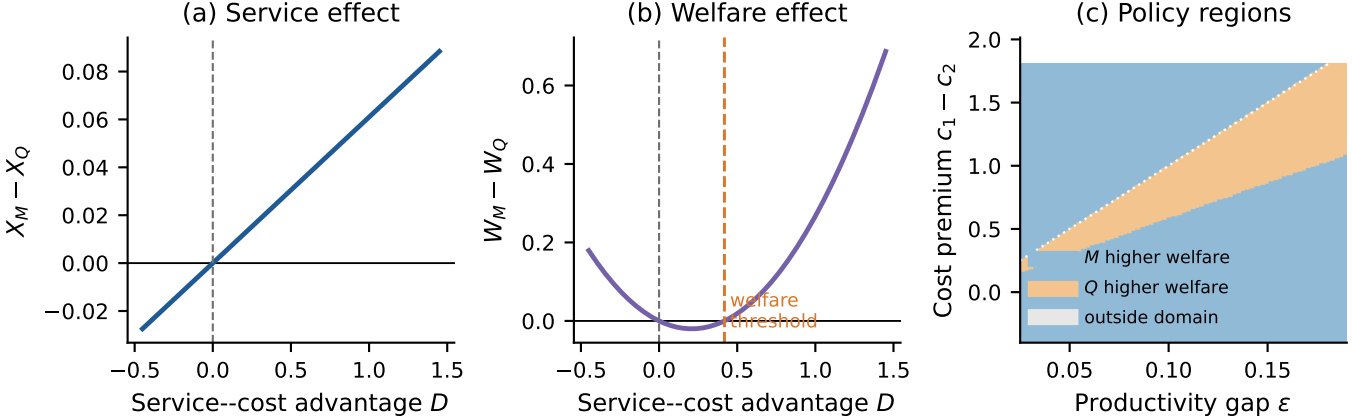
(a) Service effect
$X_M - X_Q$
0.08
0.06
0.04
0.02
0.00
−0.02
−0.5
0.0
0.5
1.0
1.5
Service--cost advantage D
(b) Welfare effect
$W_M - W_Q$
0.6
0.4
0.2
0.0
welfare
threshold
−0.5
0.0
0.5
1.0
1.5
Service--cost advantage D
(c) Policy regions
Cost premium $c_1 - c_2$
2.0
1.5
1.0
0.5
0.0
M higher welfare
Q higher welfare
outside domain
0.05
0.10
0.15
Productivity gap ε